

CFP 5 Money Goals to Maximize Your Wealth

1 Boost your retirement savings.

Consider saving a portion of your annual raise into your existing IRA or 401(k) plan. "If you receive the average 3 to 4 percent raise, put 1 to 2 percent into the account," says Jody D'Agostini, a CFP with Equitable Advisors. "You are not living off this presently, and might not feel the difference. The compounding of money, tax-deferred, will go a long way towards a healthier nest egg in retirement."



2 Revisit and try to eliminate high-interest debt.

There is good debt — a home mortgage, college loans — and there's consumer debt, particularly high interest on credit cards that is generally 25 to 30 percent. "This can be crushing over time," says D'Agostini. "A good plan of attack might be to consolidate [that debt] onto a credit card that is zero interest over a year or 18 months, and then try to retire [the debt completely] over that period of time. You might also want to revisit your expenses to see how the debt accumulated to try to prevent it from happening again."



3 Keep the right amount in cash.

"I've seen a lot of people over-concentrated in cash, and a few with no cash," said Cicely Jones, a CFP with Equitable Advisors. Emergency reserves should be based on your living expenses. Depending on the consistency of your income, your cash reserves should consist of three to six months of your expenses. (If you have job insecurity, D'Agostini recommends increasing this to six to 12 months of savings.) So, if you spend \$4,000 per month, you should have \$12,000 to \$24,000 in an emergency account. "The other reason to hold cash is if you have a very near-term spending goal, such as a home purchase, new car, or wedding in the next three years," Jones added. "Outside of those near-term goals and emergency reserves, everything else should be invested in securities according to your risk tolerance for your other financial goals."



4 Make a Want List with just three items.

Keeping this list to three items allows you to focus on the things you truly want. "Practicing delayed gratification is key to smart finances, but resisting constant ads can be tough," said Gerald Grant III, CEP. "A Want List helps you avoid impulse buys and concentrate on your real goals and desires."



5 Evaluate your insurance rates.

A new year is the perfect time to review not only your coverage to be sure you have what is needed, but to shop for coverage to see if another carrier has the same or better offerings at a lower premium. "If you have been married, had more children, or have taken on more debt, you might consider increasing your life insurance," says D'Agostini. "Disability insurance is often overlooked, but the chance of becoming disabled is greater than dying, and the number one cause for bankruptcy in the U.S. is due to medical issues," so it's definitely worth considering.

